# EXECUTIVE SUMMARY

## A. Introduction

### Agency Profile

Peñablanca is one of the 29 towns of Cagayan. It is approximately 9 kilometers road distance to Tuguegarao City. It has a total land area of 119,320 hectares with 24 barangays.

Peñablanca means "white rock" named after the beautiful drift of Callao Caves of which the Municipality takes pride.

The Municipality's vision is to be a premier eco – tourist destination of the country that guarantees not only the sustainable growth and development of Peñablanca but also to ensure the optimum preservation and protection of the environment with people living in an improved quality of life dignity and good moral values distinct only to the Filipinos.

To fulfill this vision, the Municipal Government program is centered on the provision of basic services, through enhancement of productivity on agricultural sector, electrification of remote barangays, promotion of optimal use of available resources through cooperatives, full support on social and health programs centered on the poor of Peñablanca.

## B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Peñablanca for the year 2023 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

## C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Peñablanca, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

| Particulars | 2023 | 2022 | Increase/ (Decrease) |
|---|---|---|---|
| **Financial Position** | | | |
| Assets | 727,421,112.79 | 738,959,926.77 | (11,538,813.98) |
| Liabilities | 11,869,833.98 | 17,707,717.98 | (5,837,884.00) |
| Government Equity | 715,551,278.81 | 721,252,208.79 | (5,700,929.98) |
| **Financial Performance** | | | |
| Income | 449,222,267.96 | 522,797,550.13 | (73,575,282.17) |
| Expenses | 434,540,610.42 | 386,268,356.61 | 48,272,253.81 |
| Net Income | 14,681,657.54 | 136,529,193.52 | (121,847,535.98) |

## D. Operational Highlights

The major accomplishments of the Municipality for CY 2023, in terms of implementation of programs, projects and activities, are as follows:

.

| Programs/Projects/Activities | | Location | Amount |
|---|---|---|---|
| 1 | Construction of New Public Market | Camasi | P33,441,107.68 |
| 2 | Installation of High Poled Led Lights | Quibal, Cabasan | 9,997,494.64 |
| 3 | Construction of Peñablanca Health Center | Camasi | 6,493,347.20 |
| 4 | Proposed Construction of National Child | Quibal | 2,995,033.53 |
| 5 | Concreting of portion of Barangay Road | Manga | 2,949,167.16 |
| 6 | Construction of Road Leading to Nanguillatan Spring, BFD Cave and Gabur-Gabur Falls (Road Opening) | Nanguillatan | 2,486,028.77 |
| 7 | Development of Sanitary Landfill cum Ecological Park | Bical | 2,431,156.67 |
| **Total** | | | **P60,793,335.65** |

## E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Peñablanca for the year-ended December 31, 2023, due to: (1) variance amounting to P32,674,798.19 between the report on physical and financial accomplishment on infrastructure projects and the amount presented in the financial statement; (2) discrepancies between the Report on Physical Count of PPE (RCPPE) and the schedule of PPE for land, motor vehicle and construction and heavy equipment accounts totaling to P13,174,751.92; and (3) misstatements on the Cash in Bank accounts amounting to P2,567,494.48.

## F. Summary of Significant Observations and Recommendations

The significant audit observations and recommendations for CY 2023 other than the bases for the modified opinion that needs immediate attention and action by the Municipality of Peñablanca, are as follows:

1. **The LGU failed to implement eight (8) programs/projects/activities (PPAs) with a total appropriation of P41.970 million, funded under the 20% Development Fund (DF) of the LGU as at year-end, contrary to DBM-DOF-DILG Joint Memorandum Circular No. 1 dated November 4, 2020; thus, depriving its constituents of the socio-economic benefits enjoyed if these projects were implemented as planned.**

   We recommended that the Management, moving forward:

   a) ensure that all identified development projects embodied in the Annual Investment Program are supported with concrete plans and designs, without any hindering issues and procurement-and-implementation-ready, including conduct of detailed engineering for infrastructure projects, in order to complete them within the target completion date to maximize the benefit for its intended beneficiaries;

   b) prepare a holistic and comprehensive but realistic catch-up plan, after conducting proper monitoring and follow-up activities, to expedite the project implementation of PPAs funded especially from prior years' appropriation, which are still at the agency pipeline, to reduce backlogs; and

   c) consider the need for reprogramming of the PPAs from prior years' appropriations, where necessary, after determination of a more relevant and responsive and procurement-and-implementation-ready projects that may be included under the 20% Development Fund of the Municipality in adherence with applicable laws, rules and regulations.

2. **Discrepancies were noted, as a result of confirmation made, with the amounts reported by the LGU under the Due to NGAs account amounting to P1.112 million, as at December 31, 2023, and misclassification of amount received from Philippine Amusement and Gaming Corporation (PAGCOR) in the amount of P3.175 million recorded under the Due to NGAs account, rendering unreliable the balances presented under such account, contrary to the prescribed Chart of Accounts for LGUs and Paragraph 27 of IPSAS 1.**

   We recommended that the Management instruct the Municipal Accountant and other concerned LGU Officials to: (a) reconcile the funds received from NGAs, to record the necessary adjusting entries and, moving forward, ensure the proper recording of financial transactions in the books, particularly on the receipts, utilizations and liquidations of fund transfers, for the fair presentation of the Due

to NGAs account in the financial statements; and (b) cause the immediate preparation and submission of liquidation reports to the source agencies to facilitate proper recording of transactions in the Source Agencies' books of accounts.

3. **Unserviceable PPE totaling P8.969 million remained undisposed as of December 31, 2023, which is not in compliance with the Manual on Disposal of Government Property, COA Circular No. 92-386 dated October 20, 1992 and COA Circular No. 89-296 dated January 27, 1989.**

   We recommended that the Management to:

   a) initiate immediately the procedures for the proper disposal of the identified unserviceable properties in order to avoid further deterioration of the properties, in accordance with the relevant laws, rules and regulations thru the preparation of IIRUP and submit the same to COA for inspection and appraisal; and

   b) after disposal of unserviceable properties, prepare the necessary adjusting entries to record the disposal and derecognize the disposed properties in compliance with the pertinent rules and regulations governing disposal of PPEs to present fairly the financial statement of the LGU.

## G. Summary of Total Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2023:

| Particulars | Beg. Balance | Issued During the Year | Settlement During the Year | Ending Balance | % of Settlement |
|---|---|---|---|---|---|
| **Suspensions** | | | | | |
| Prior Years | 3,021,482.67 | - | - | 3,021,482.67 | - |
| Current Year | - | - | - | - | - |
| **Total** | **3,021,482.67** | - | - | **3,021,482.67** | - |
| **Disallowances** | | | | | |
| Prior Years | 215,138.00 | - | - | 215,138.00 | - |
| Current Year | - | - | - | - | - |
| **Total** | **215,138.00** | - | - | **215,138.00** | - |
| **Charges** | | | | | |
| Prior Years | - | - | - | - | - |
| Current Year | - | - | - | - | - |
| **Total** | - | - | - | - | - |

## H. Status of Implementation of Prior Year's Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in CY 2022 Annual Audit Report are summarized as follows:

| | | |
|---|---|---|
| Implemented | | 8 |
| Not Implemented | 1 | |
| Not Implemented and Reiterated in CY 2023 AAR | 1 | 2 |
| **Total** | | **10** |